

Executive Summary

SunRise Renewables Pvt. Ltd.

1 GW Utility-Scale Solar PV Project Financial Model

1. Project Overview

Metric	Value
Installed Capacity	1,000 MW
Installed DC Capacity	1,350 MWp
Construction Period	24 Months
COD	01-Apr-28
PPA Tenure	25 Years
Model Period	FY27 – FY53

2. Funding Summary

Metric	Value
Total Project Cost	₹4,741.81 Cr
Debt Funding	₹3,319.27 Cr
Equity Funding	₹1,422.54 Cr
Debt to Equity	70%:30%
Interest Rate	9.25%
Loan Tenure	18 Years
Moratorium	3 Years

3. Operational Assumptions

Metric	Value
PPA Tariff	₹3.00/kWh
Plant Load Factor	24%
Module Degradation	0.50% p.a.
Plant Availability	99%
Grid Availability	98.50%
Auxiliary Consumption	1.20%
Collection Period	60 Days

4. Investment Evaluation

Metric	Value
WACC	10.98%
Project IRR	6.82%
Equity IRR	7.46%
Project NPV	₹(1,113.38) Cr
Equity NPV	₹(613.33) Cr
Project Payback	12.80 Years
Equity Payback	18.97 Years

5. Debt Service Metrics

Metric	Value
Minimum DSCR	0.79x
Average DSCR	1.10x
LLCR	1.12x

6. Sensitivity Analysis

in ₹ crores		Tariff per unit				
		2	2.5	3	3.5	4
PLF	22%	(2,447.02)	(1,998.71)	(1,550.41)	(1,102.10)	(653.79)
	23%	(2,365.51)	(1,896.83)	(1,428.14)	(959.46)	(490.77)
	24%	(2,284.00)	(1,794.94)	(1,305.88)	(816.81)	(327.75)
	25%	(2,202.49)	(1,693.05)	(1,183.61)	(674.17)	(164.73)
	26%	(2,120.98)	(1,591.16)	(1,061.35)	(531.53)	(1.71)

in ₹ crores		O&M Escalation				
		3%	4%	5%	6%	7%
Interest rate	8.50%	(1,206.79)	(1,253.89)	(1,307.26)	(1,367.87)	(1,436.85)
	9.00%	(1,205.87)	(1,252.97)	(1,306.34)	(1,366.95)	(1,435.92)
	9.25%	(1,205.41)	(1,252.51)	(1,305.88)	(1,366.48)	(1,435.46)
	10.00%	(1,204.02)	(1,251.12)	(1,304.49)	(1,365.10)	(1,434.07)
	10.50%	(1,203.10)	(1,250.20)	(1,303.57)	(1,364.17)	(1,433.15)

6. Investment Decision

Criteria	Status
Project NPV > 0	✗ Not Met
Project IRR > WACC	✗ Not Met
Equity IRR > WACC	✗ Not Met
Average DSCR > 1.35	✗ Not Met
LLCR > 1.40	✗ Not Met
Payback < 12 Years	✗ Not Met

7. Key Takeaways

Utility-scale **1 GW** solar PV project developed under a **25-year PPA**.

Total project investment of **₹4,741.81 Cr**, financed through a **70:30 debt-equity structure**.

The current base-case assumptions result in a **negative NPV**, **IRRs below the cost of capital**, and **debt service metrics below lender thresholds**.

Based on the current assumptions, the project is **not financially viable** and would require improvements such as a higher tariff, lower capital cost, cheaper financing, enhanced PLF, or revised operating assumptions to meet investment criteria.